Materiality | *fx* | =B4*B5

	A	B	C	D	E
1	**Requirement 3: Materiality and the expectation of returns**				
2	The parameters every later test refers to: named cells Materiality, PerformanceMateriality, and ClearlyTrivial.				
3	**Parameter**	**Value**	**Basis**		
4	Income before income taxes, fiscal 2026 (revenue less exp…	4,503,611.24	Ledger		
5	Materiality rate	5%	The chief audit executive's condition		
6	**Overall materiality**	**225,180.56**	**Name: Materiality**		
7	Performance materiality rate	75%	75% of materiality		
8	**Performance materiality**	**168,885.42**	**Name: PerformanceMateriality**		
9	Clearly trivial rate	5%	5% of materiality		
10	**Clearly trivial threshold**	**11,259.03**	**Name: ClearlyTrivial**		
11	The chart of accounts has no income tax account, so the income the ledger records is income before income taxes. Materiality is not rounded, so ever…				
12					
13	**Analytical expectation of fiscal 2026 returns**				
14	**Item**	**2024**	**2025**	**2026**	
15	Revenue posted by sales invoices to 4010-4040 and 4080…	27,313,074.43	29,372,768.96	29,761,002.45	
16	Returns and allowances: debits to 4060, closes excluded	145,655.35	201,104.38	242,764.56	
17	Return rate	0.533%	0.685%	0.816%	
18					
19	Expectation of fiscal 2026 returns at the 2025 rate	203,762.47			
20	Recorded fiscal 2026 returns (debits to 4060)	242,764.56			
21	Difference, recorded less expected	39,002.09			
22	Difference as a percentage of the expectation	19.1%			
23	Against the clearly trivial threshold	Above clearly trivial			
24	Against performance materiality	Below performance materiality			
25	**Conclusion**	**Investigate (Requirement 5): above clearly trivial, below performance materiality**			

Rows 26 to 34: the expectation at the 2024 rate and the model answer

Cycle Map | Reconciliation | **Materiality** | Risks | Tests

Outlined in teal: the three threshold cells, each with its name written beside it as a label (in the workbook the name shows in the Name Box, here that of B6); every later formula reads the name, not the cell. In blue: the expectation at the 2025 rate, the recorded returns, the difference (39,002.09, 19.1% of the expectation) and its percentage. In coral: the two comparisons and the conclusion, which says to investigate because the difference is above the clearly trivial threshold and below performance materiality. Column A is narrower than the workbook's, so a long label is cut where its neighbor's value begins.